

Appendices

Appendix B - Parallel Cases

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The Living Age Trilogy — Appendices

The Clokey story is not an isolated event. It is one instance of a pattern that has repeated across the children's entertainment industry for decades. In each case, the sequence is the same: an independent creator builds something original, the creation becomes culturally valuable, and a larger entity — a corporation, a financier, a media conglomerate — acquires or displaces the creator through financial leverage, contractual manipulation, or the sheer weight of institutional power.

The pattern is not coincidence. It is architecture.

What follows are four parallel cases, each documented from public records, court filings, published interviews, and industry reporting. They are presented without embellishment. The facts speak clearly enough.

Case 1: Will Vinton — Claymation

Will Vinton invented Claymation.

Not figuratively. Literally. He developed the technique, named it, and trademarked the word. His Portland-based studio, Will Vinton Productions, created *The California Raisins*, the *M&M's* characters, *The PJs*, and the landmark television special *A Claymation Christmas Celebration*, which won the Emmy for Outstanding Animated Program in 1987. Vinton was nominated for an Academy Award for his short film *Closed Mondays* (1974) — the first clay-animated film to win the Oscar for Best Animated Short.

In the late 1990s, Vinton needed capital to expand his studio. Phil Knight — co-founder and chairman of Nike — invested. The investment came with board seats. The board seats came with control. In 2002, Knight's representatives on the board voted to remove Will Vinton as president of the company he had founded. Vinton was fired from his own studio.

The company was rebranded as Laika Entertainment. Knight's son, Travis Knight, became president and eventually CEO. Laika went on to produce critically acclaimed stop-motion films — *Coraline*, *ParaNorman*, *Kubo and the Two Strings* — using the studio infrastructure, talent pipeline, and institutional knowledge that Will Vinton had built.

Will Vinton's name was removed from the company. His trademark on "Claymation" was transferred. He spent the remaining years of his life working on independent projects, largely outside the studio system he had pioneered.

Will Vinton died on October 4, 2018, at the age of seventy.

Joe Clokey died on March 2, 2018, at the age of fifty-six.

Two independent clay animation pioneers. Both pushed out. Both died in the same year.

Case 2: Phil Vischer — VeggieTales

Phil Vischer created VeggieTales in 1993.

Operating out of his company Big Idea Entertainment, Vischer and his team produced a series of computer-animated home videos featuring Bob the Tomato and Larry the Cucumber — characters that taught biblical values to children through humor and storytelling. VeggieTales became the bestselling direct-to-video series in America, moving over 75 million units. The franchise generated hundreds of millions in revenue.

Big Idea grew rapidly — too rapidly. The company invested heavily in a theatrical film, *Jonah: A VeggieTales Movie* (2002), which performed modestly at the box office. A lawsuit from a former distributor, HiT Entertainment, resulted in a \$14 million judgment against Big Idea. The company could not absorb the loss. Big Idea filed for bankruptcy in 2003.

At the bankruptcy auction, VeggieTales was purchased by Classic Media.

Classic Media — the same company that held the Gumby licensing rights. The same company that Joe Clokey spent years negotiating with, trying to bring Gumby back to the world. The same company that, according to the Clokey family's account, made the path to distribution systematically impossible.

Classic Media acquired VeggieTales for \$19.3 million — a fraction of the franchise's actual value. Phil Vischer retained no ownership. He later described the experience as watching his life's work "being carried away in boxes."

Vischer continued to create — he founded Jellyfish Labs and produced the series *What's in the Bible?* — but VeggieTales was no longer his. The characters he created, the stories he wrote, the values he embedded in the work — all belonged to the company that bought them at auction.

Classic Media was later acquired by DreamWorks Animation, which was later acquired by NBCUniversal, which is owned by Comcast. VeggieTales now sits inside a media conglomerate with a market capitalization exceeding \$150 billion.

Phil Vischer created something alive. The machine consumed it.

Case 3: Klasky Csupo — Rugrats

Arlene Klasky and Gabor Csupo founded Klasky Csupo, Inc. in 1982, operating initially out of their Hollywood apartment. They created the animation for *The Simpsons* during its first three seasons on *The Tracey Ullman Show* and its early run as a standalone series. In 1991, they created *Rugrats* for Nickelodeon.

Rugrats became one of the most successful animated series in television history. It ran for nine seasons, produced three theatrical films, and generated an estimated \$3.7 billion in merchandise revenue. The show won four Daytime Emmy Awards. At its peak, *Rugrats* was Nickelodeon's highest-rated program and one of the most-watched children's shows in the world.

The relationship between Klasky Csupo and Nickelodeon (owned by Viacom) deteriorated. According to reports, Klasky Csupo hired independent auditors to examine the financial accounting on *Rugrats* merchandise revenue — believing that the studio was not receiving its contractual share of the \$3.7 billion.

The audit was never completed. Nickelodeon terminated its partnership with Klasky Csupo. The studio lost its primary source of production revenue. Klasky Csupo never produced another hit series at the same scale.

Nickelodeon retained the *Rugrats* intellectual property. The network has since produced *Rugrats* reboots, specials, and merchandise — without Klasky or Csupo's creative involvement.

Arlene Klasky and Gabor Csupo created characters that generated billions. When they asked where the money went, they lost the characters.

Case 4: Jim Henson — The Muppets

Jim Henson created the Muppets in 1955 — the same year Art Clokey created Gumby.

Over the next thirty-five years, Henson built one of the most beloved and recognizable entertainment brands in the world. *The Muppet Show*, *Sesame Street*, *Fraggle Rock*, *The Dark Crystal*, *Labyrinth* — Henson's creations were original, handmade, and infused with a warmth and humanity that no corporate committee could have produced.

In 1989, Henson entered negotiations with The Walt Disney Company to sell his company. The deal was complex and incomplete. According to multiple accounts, Henson was deeply conflicted about the sale — he wanted his characters to have a secure future, but he did not want to lose creative control.

Jim Henson died suddenly on May 16, 1990, at the age of fifty-three, from toxic shock syndrome caused by *Streptococcus pyogenes* — a bacterial infection that can be fatal within hours if untreated. He had felt ill for several days but delayed seeking medical attention.

The Disney deal fell apart after Henson's death. His family retained control for the next fourteen years. In 2004, The Walt Disney Company acquired the Muppets and Bear in the Big Blue House from The Jim Henson Company for a reported \$75 million — widely considered a fraction of the brand's true value.

Disney now owns the Muppets entirely. The Henson family retained *Sesame Street*, *Fraggle Rock*, and the Henson creature shop, but the crown jewels — Kermit, Miss Piggy, Fozzie Bear, Gonzo, Animal — belong to the Walt Disney Company.

Jim Henson was fifty-three when he died. Joe Clokey was fifty-six. Will Vinton was seventy. All independent creators. All separated from their creations by forces beyond their control — financial leverage, institutional power, and in Henson's case, a death so sudden that no succession plan could have been executed.

The Architecture

Four creators. Four properties. Four separations. The mechanism varies — debt leverage, bankruptcy auction, financial audit retaliation, death — but the outcome is identical: the creator is displaced and the creation is absorbed into a larger entity that did not build it, does not understand it, and cannot reproduce the living quality that made it valuable.

This is not a conspiracy theory. A conspiracy requires coordinated secret action. What these cases reveal is something more structural: an *architecture* of consolidation that does not require coordination because it is built into the incentive structure of the industry itself.

The FCC's regulatory framework, from the Radio Act of 1927 through the Telecommunications Act of 1996, systematically concentrated broadcast distribution into fewer and fewer hands. Fifty major media companies in 1983 became six by 2012. Independent creators — no matter how talented, no matter how popular, no matter how culturally significant their work — cannot reach audiences without passing through the distribution bottleneck that these six companies control.

The bottleneck is the mechanism. The leverage comes from controlling access to the audience. The creator needs the distributor more than the distributor needs the creator — because there are always more creators than there are distribution channels. This asymmetry creates the conditions for extraction: the creator builds something valuable, the distributor controls access to the market, and the eventual transfer of ownership is not a negotiation between equals but a capitulation by the weaker party.

Art Clokey saw this. He spent his entire life refusing to capitulate. Joe Clokey inherited the refusal and paid for it with eight years of closed doors and a death at fifty-six. Will Vinton refused and was fired. Phil Vischer refused and went bankrupt. Klasky and Csupo asked for an audit and lost their partnership. Jim Henson hesitated — and died before he could decide.

The pattern is not coincidence. It is architecture. And the architecture is the block — the geometric, rigid, stackable structure of institutional power that exists not to create but to *control* creation. To stand between the creator and the audience. To extract value from the living thing without being able to produce it.

The blocks cannot create Gumby. They cannot create VeggieTales. They cannot create Rugrats. They cannot create the Muppets. They can only acquire them — by leverage, by auction, by termination, by outliving the creator.

But the blocks cannot acquire the seed. The seed is too small, too distributed, too patient. The seed sits in the ash and waits for fire.

And the fire is coming.